Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A [IQ KEY: 4276592, SPCIQ KEY: 877906, TCUID: 53231]

Additional Disclosure

Year: Methodology Year: 2022
Question: Climate-Related Scenario Analysis
Include Modeled Scores : Yes

Climate-Related Scenario Analysis

Question

Does the company conduct climate-related scenario analysis?

Rationale

Today, nearly all organizations are affected by climate change-related risks. However, the most significant effects of climate change are likely to emerge over the medium to longer term, while the precise timing and magnitude of these impacts remain uncertain. This uncertainty represents a challenge for organizations and investors to understand the potential effects of climate change on their businesses, strategies, and financial performance. To appropriately incorporate these potential impacts in their planning processes, organizations need to consider how such risks and opportunities may evolve and what the potential implications may be under different conditions. One way to do this is through using climate-related scenario analysis.

This question is aligned with the TCFD recommendations, which include a recommended disclosure on the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.

This question is also aligned with the European Non-financial Reporting Directive 2014/95/EU, which demands that when reporting on their climate-related risks and opportunities, companies consider their whole value chain. Indeed, risks of negative impacts on an organization and risks of negative impacts on the climate may arise from companies' own operations and may also occur throughout the value chain, both upstream in the supply chain and downstream.

Performance Summary	
Question Level Company Performance	20
Question Weight	5
Year-on-Year Change	(20)
Industry Average Score	21
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Risk Assessment: Systematic process for an organization to evaluate potential risks that may impact its assets and operations.

Scenario Analysis: Process for identifying and assessing a potential range of outcomes of future events under conditions of uncertainty. In the case of climate change, for example, scenarios allow an organization to explore and develop an understanding of how the physical and transition risks of climate change may impact its businesses, strategies, and financial performance over time.

(TCFD (2017), Recommendations of the Task Force on Climate-related Financial Disclosures)

Physical risks: Risks associated with physical impacts from climate change that could affect carbon assets and operating companies. These impacts may include "acute" physical damage from variations in weather patterns (such as severe storms, floods, and droughts) and "chronic" impacts such as sea level rise, and desertification.

(TCDF (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Context specific: Adaptation responds to physical climate risks that are mostly location and context specific. Due to this nature, organizations can best assess climate related risks and mitigate them based on a context specific plan. For example, there are in principle several engineering and non-engineering options available to a coastal city to respond to the risk resulting from increased sea level. Responses will vary according to where the city is located, its size, the institutional and financial capacity of the city administration to deal with climate risk, the technical and engineering expertise available, the priority of the city, the perception of the citizens, and other factors.

(EU Technical Expert Group, Taxonomy Report, Technical Annex)

Value Chain: Terminology used to describe the upstream and downstream life cycle of a product, process, or service, including material sourcing, production, consumption, and disposal/recycling.

Upstream activities include operations that relate to the initial stages of producing a good or service, e.g. material sourcing, material processing, supplier activities.

Downstream activities include operations that relate to processing the materials into a finished product and delivering it to the end user (e.g. transportation, distribution and consumption).

(TCDF (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities)

Data Requirements

Please include in your response all the scenarios based on which you assess the physical risks related to climate change.

In line with the TCFD recommended disclosure, two scenarios are required for full scoring, one of which has to be a 2°C or lower scenario.

If your company conducts a scenario analysis and uses another method, please describe the three following elements:

- Parameters used (e.g. discount rate, GDP, other macro-economic variables etc.)
- Assumptions made (e.g. assumptions related to policy changes, technology development/deployment, energy mix, price of key commodities or inputs, geographical tailoring of transitional and physical impacts, and timing of potential impacts)
- Description of the different scenarios with time horizons set

Additional credit will be granted for public disclosure of:

- At least one climate related scenario
- The focus and scope of the climate risk assessment

References

TCFD (2017) Final Report: Recommendations of the Task Force on Climate-related Financial Disclosures

https://www.fsb-tcfd.org/publications/final-recommendations-report/

TCFD (2017), Technical Supplement: The Use of Scenario Analysis in Disclosure of Climate-related Risks and Opportunities

https://www.fsb-tcfd.org/publications/final-technical-supplement/

CDP (2017), CDP Technical Note on Scenario Analysis – Conducting and disclosing scenario analysis

EU, Technical Expert Group (TEG)(2020) Technical Annex on technical screening criteria for economic activities that can make a substantial contribution to climate change mitigation or adaptation.

https://ec.europa.eu/info/sites/info/files/business_economy_euro/banking_and_finance/documents/200309-sustainable-finance-teg-final-report-taxonomy-annexes_en.pdf

European Commission, Guidelines on reporting climate-related information

https://ec.europa.eu/finance/docs/policy/190618-climate-related-information-reporting-guidelines_en.pdf

Standards & frameworks

CDP Climate - C2.1a, C2.2, C2.2a, C2.3a, C3.2, C3.2a

TCFD - Strategy (a), Strategy (b), Strategy (c)

UNGC Questionnaire - G6

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has completed an assessment of material physical climate risks	Yes
Company publicly reports on its climate risk assessment's scenario analysis regarding physical risks	-
Company's climate risk assessment regarding physical risks scenario analysis methodology	Qualitative and Quantitative
Company uses the RCP 1.9 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 2.6 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 3.4 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 4.5 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 6 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 7.0 scenario as a climate-related scenario for physical risks	-
Company uses the RCP 8.5 scenario as a climate-related scenario for physical risks	-
Company uses different climate-related scenarios for physical risks from the ones listed	-
Company publicly reports on the scope and focus of its climate risk assessment regarding physical risks	-
Scope of the climate risk assessment regarding physical risks includes the company's operations	YES
Company's climate risk assessment regarding physical risks focus	Context specific
Scope of the climate risk assessment regarding physical risks is consistent with the expected lifetime of the company's assets or activities	-
Scope of the climate risk assessment regarding physical risks includes upstream activities	-
Scope of the climate risk assessment regarding physical risks includes downstream activities	-

Questionnaire

Has your company assessed physical risks related to climate change?

1. (●) Yes, we have completed an assessment of material physical climate risks for our company and it has the following characteristics.

Scenario analysis

Please provide supporting evidence for options selected below and indicate if the evidence is publicly available.

1. [ ] We publicly report on our scenario analysis for physical risks

1. ( ) We use qualitative climate-related scenario analysis

2. ( ) We use quantitative climate-related scenario analysis

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

3. (•) We use qualitative and quantitative climate-related scenario analysis
4. ( ) We do not use climate-related scenario analysis

If your organization uses climate-related scenarios for physical risks, please select any that apply:

1. [ ] RCP 1.9
2. [ ] RCP 2.6
3. [ ] RCP 3.4
4. [ ] RCP 4.5
5. [ ] RCP 6.0
6. [ ] RCP 7.0
7. [ ] RCP 8.5
8. [ ] Other physical risk scenario, please provide a detailed description (see Data Requirements):

Scope and focus of risk assessment

Please provide supporting evidence for options selected below and indicate if the evidence is publicly available.

1. [ ] We publicly report on the scope and focus of the assessment

1. [x] The scope of our assessment includes our own operations

Please select the type(s) of assessment that apply:

1. (•) Context-specific assessment of the physical impacts of climate change for each asset (covering majority of assets)
2. ( ) General level assessment on the physical impacts of climate change

1. [ ] Assessment is based on short-, medium-, and long-term horizons considering the expected lifetime of the assets or activities

2. [ ] The scope of our assessment includes our upstream activities
3. [ ] The scope of our assessment includes our downstream activities and clients

2. ( ) We have not completed a climate-related risk assessment for physical risks.
3. ( ) Not applicable. We do not consider our company's assets or operations to be exposed to physical climate risks. Please provide explanations in the comment box below.
4. ( ) Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.